BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Application No.CA (CAA)132 /PB/2018

Judgment dated:

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

MR. S.K. MOHAPATRA,

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

1. **ALL INDIA FINANCE AND COMMERCE PRIVATE LIMITED**

Having Registered Office at:

K-9, Connaught Circus,

New Delhi-110001

..... Applicant Company No. 1 / Transferor Company

WORLD MEDIA PRIVATE LIMITED

Having Registered Office at:

9K Block, Connaught Circus

New Delhi-110001

..... Applicant Company No. 2 / Transferee Company

For the Applicants: Ravi Sharma, Advocate

ORDER

M.M. KUMAR, PRESIDENT

1. This is an application filed by the applicant companies under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'The Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'The Rules') in relation to the Scheme of Amalgamation (for brevity the "SCHEME") proposed between the applicants. The said Scheme is also annexed [Annexure "1"]. In terms of Sections 230 and 232 of the 2013 Act following prayers have been made for orders:-

(a) Dispensation with holding of meetings of equity shareholders of the Transferor and Transferee Company and also dispense with the requirement of issue and publication of notices for the same.

(b) Direct convening of the meetings of the unsecured creditors of the Transferee Company to consider the Scheme.

(c) Direct publication of advertisement of notice of the meetings of the unsecured creditors of the Transferee Company in the newspapers namely FINANCIAL EXPRESS (English Edition) and JANSATTA (Hindi Edition).

(d) Pass any such further as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the case."

2. An affidavit in support of the application sworn for and on behalf of the Applicant Company 1 has been filed by one Mr. Sunil Mohan Buckshee and on behalf of the Applicant Company No. 2 has been filed by Mr. Rajinder Singh being the authorized representatives.

3. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. Learned Counsel has taken us through the averments made in the application as well as the typed set of documents annexed there with. It is further represented that the application filed by the applicants is maintainable in view of Rule 3(2) of the Rules and Learned Counsel also represented that the registered offices of both the applicant companies are situated within the territorial jurisdiction of this Tribunal and fall within domain of Registrar of Companies, NCT, New Delhi.

4. In relation to the Transferor/ Applicant Company No. 1, it has been represented that company has **25** Equity Shareholders. We are further apprised that the Transferor / Applicant Company No.1 has no Secured Creditor and no Unsecured Creditor. 99.79 % (in value) of the shareholders (in value) have filed their consents by way of affidavits. In relation to the Shareholders and Creditors Transferor / Applicant Company No. 1 seeks a direction for dispensing with holding of meetings for the purpose of obtaining their approval to the proposed Scheme.

5. In relation to the Transferee/ Applicant Company No. 2, it has been represented that company has **5** Shareholders. We are further apprised that the Transferee / Applicant Company No.2 has **no** Secured and **27** Unsecured Creditors. Consent- affidavits from all the shareholders have already been placed on record. In relation to the Unsecured Creditors Transferee / Applicant Company No. 2 seeks a direction for convening and holding of a meeting for the purpose of obtaining their approval to the proposed Scheme.

6. The above application has been placed before us and this Tribunal proceeds to entertain the same. The registered offices of both the applicant companies are situated within New Delhi which are subject to the territorial jurisdiction of Registrar of Companies, NCT, New Delhi as well as that of this Tribunal.

7. We have perused the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Applicant Companies.

8. Applicant Company No. 1 was incorporated in the state of Delhi under the provisions of Companies Act, 1913 on 07.01.1937 under the name "*All India Finance and Commerce Limited*". The status of the Company was changed to private limited on 06.06.1979. The authorised share capital of the Transferor Company is Rs 5,61,000 only divided 5,61,000 equity shares of Re. 1 each. The issued, subscribed and paid-up share capital of the Company is Rs. 5,50,476 only divided into 5,50,476 equity shares of Re. 1 each.

9. Applicant Company No. 2 was incorporated in the state of Delhi under the provisions of Companies Act, 1913 on 17.10.1949 under the name "*Kishori Lal Sham Lal and Company Private Limited*". Later, on 25.11.1991 the name of the Company was changed to "*World Media Private Limited*" The authorised share capital of the Transferee Company is Rs. 2,49,04,900 divided into 24,90,490 equity shares of Rs. Ten each. The issued, subscribed and paid-up share capital of the Company is Rs. 1,01,610 divided into 10,161 equity shares of Rs Ten each.

10. The Board of Directors of the Companies vide meetings held on 15.02.2018 have unanimously passed resolutions and approved the proposed Scheme of

Amalgamation as contemplated above and copies of resolutions have also been placed on record by the Companies.

11. Taking into consideration the application and the documents filed therewith, we propose to issue the following directions with respect to calling, convening and holding of the meetings of the Shareholders, Secured and Unsecured Creditors or dispensing with the same which are as follows:-

A. In relation to the Applicant No. 1/ Transferor Company:

i. With respect to Shareholders:

It is represented by the Applicant No. 1 that there are 25 Shareholders in the Company, 99.79 of whom have already placed their consent-affidavits on record. Therefore the necessity of convening and holding a meeting is obviated.

ii. With respect to Secured Creditors:

Since it is represented by the Applicant No. 1 that there is no Secured Creditor in the Company, the necessity of convening and holding a meeting is obviated.

iii. With respect to Unsecured Creditors:

Since it is represented by the Applicant No. 1 that there is no Unsecured Creditor in the Company, the necessity of convening and holding a meeting is obviated.

B. In relation to the Applicant No. 2/ Transferee Company:

i. With respect to Shareholders:

Since it is represented by the Applicant No. 2 that there are 5 Shareholders in the Company, all of whom have already placed their consent-affidavits on record. Therefore the necessity of convening and holding a meeting is obviated.

ii. With respect to Secured Creditors:

Since it is represented by the Applicant No. 1 that there is no Secured Creditor in the Company, the necessity of convening and holding a meeting is obviated.

iii. With respect to Unsecured Creditors:

Since it is represented by the Applicant No. 2 that there are **27** Unsecured Creditors in the Company. Meeting of the Unsecured Creditors of the Transferee Company be held on 20.12.2018; at 11.00

A.M. at Hotel Le Meridian, Windsor Palace, Connaught Place, New Delhi. The Quorum of the meeting shall be **10**.

C. In case the Quorum as noted above for the above meetings of the applicant companies are not present, in the meetings, then the meetings shall be adjourned for half an hour, and thereafter, the person present shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, are duly filed with registered office of the applicant companies at least 48 hours before the meetings. The Chairperson and the Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained.

D. Mr. Sanjeev Manrai, Senior Advocate (9814115016) is appointed as the Chairperson and Ms. Prachi Johri (7828421815) is appointed as Alternative Chairperson for the meeting of Applicant Company as has been directed to be convened by this Tribunal.

E. The fee for the Chairperson for the aforesaid meetings shall be Rs. 1,00,000/- and the fee for the Alternate Chairperson shall be Rs. 50,000/- in

addition to meeting their incidental expenses. Mr. Prince Chadha, CS (7508635880) is appointed as a Scrutinizer and would be entitled to fee of Rs. 75,000/- for his services in addition to meeting his incidental expenses. The Chairperson will file their reports within two weeks from the date of holding of the above said meetings.

F. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of arrangement, a copy of explanatory statement. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act may also be duly sent with the notice.

G. That the applicant companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date, place and time as aforesaid, to be published in the English Daily '**Financial Express**' (Delhi Edition) and Hindi Daily '**Jansatta**' (Delhi Edition) stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy

shall be provided free of charge at the registered office of the Applicant Companies.

H. Voting shall be allowed on the proposed Scheme by voting in person or by proxy, as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

I. The Companies shall individually send notice to the Central Government, the Income Tax Authorities, concerned Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator, and any sectoral regulators who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

J. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Sd/-

17.10.2018

(M.M. KUMAR)

PRESIDENT

Sd/-

(S.K. MOHAPATRA)

MEMBER (TECHNICAL)

Pronounced today under Rule 151 of the NCLT Rules, 2016 as Shri S.K. Mohapatra, Hon'ble Member (T) is not holding court today.

Sd/-

(NIRMALA VINCENT)

COURT OFFICER

Vidya